

Reverse Put Calendar Spread

Buy near-term ATM put (21 DTE) · Sell far-term ATM put (90 DTE) · Same strike

THE SETUP

- Long 21-DTE put — reprices first in a panic
- Short 90-DTE put — cuts entry cost ~50%
- Net: long gamma, long near-vega, -theta
- Cost: 40–60% of an outright put premium

WHY IT WORKS IN A SHOCK

- Near-term IV spikes faster than far-term IV
- Positive gamma: P&L accelerates into the drop
- Short put only limits upside, not downside gain
- Exit quickly — capture the IV spike within 5 days

KEY GREEKS & PARAMETERS (SPX ~5,600 · VIX ~17)

 $-\Theta$

Negative theta

 $+\Gamma$

Strong pos. gamma

 $+v$

Near-term vega

21D

Near expiry

90D

Far expiry

Standard Call Calendar Spread

Buy far-term ATM call (90 DTE) · Sell near-term ATM call (21 DTE) · Same strike

THE SETUP

- Short 21-DTE call — fastest theta decay, your income
- Long 90-DTE call — anchor that retains time value
- Net: positive theta, mild -gamma, long far-vega
- Max profit when underlying pins near the strike

WHY IT WORKS IN A CALM MARKET

- 21-DTE call decays ~3x faster than 90-DTE call
- Roll the short leg every cycle — compounding carry
- Low realised vol keeps gamma losses minimal
- Long far vega benefits if IV drifts up gradually

KEY GREEKS & PARAMETERS (SPX ~5,600 · VIX ~17)

$+\Theta$

Positive theta (carry)

$-\Gamma$

Mild neg. gamma

$+\nu$

Long far-term vega

21D

Roll near leg here

90D

Hold far leg anchor

Tail Risk / First Responder

Buy 21D put · Sell 90D put · ATM

THE SETUP

- **Long 21D put:** captures panic repricing first
- **Short 90D put:** finances ~50% of premium
- **Net Greek:** long gamma, +near vega, -theta

WHY IT WORKS

- **Near IV:** spikes faster than far IV in a shock
- **Gamma:** convex — P&L accelerates into the drop
- **Short leg:** limits upside, does NOT cap downside

ENTRY / EXIT

- **Entry:** VIX < 20, known catalyst 5–10D away
- **Exit:** within 5D of shock or when near IV reverts
- **Cost:** 40–60% cheaper than outright put

SPEAKER NOTES

OPENING — SET THE SCENE

Open with a question: 'What's your biggest fear — a slow grind down, or an overnight gap?' Pause. This strategy is built for the second one. It's not a prediction — it's protection.

ON THE TWO LEGS

Walk through both legs clearly. The 21-day put is the weapon — it reprices violently when VIX spikes. The 90-day short put is purely the financing mechanism. Emphasise: we are NOT selling vol naked. This is a defined-risk structure.

ON POSITIVE GAMMA

This is the core insight. Unlike an outright long put, this structure has positive gamma: P&L accelerates as the market falls. Theta is the daily cost for owning that convexity. Frame it as the premium on an insurance policy — modest carry, asymmetric payoff.

ON COST EFFICIENCY

The short 90-day leg cuts your cost by roughly half vs. a naked long put. If challenged on the short leg: the far-term put moves much more slowly — you have a full 90-day buffer to manage it if the shock persists beyond 21 days.

CLOSING — IDEAL TIMING

Best entry: VIX under 20, a catalyst on the horizon (FOMC, CPI, earnings). Enter 5–10 days ahead. Exit within 5 days of the event or when near-term IV snaps back. Don't hold through theta decay — this is a tactical, not a passive, hedge.

Stable Growth / Theta Carry

Buy 90D call · Sell 21D call · ATM

THE SETUP

- **Short 21D call:** fastest decay — this is your income
- **Long 90D call:** anchor, retains value & far vega
- **Net Greek:** positive theta, mild $-\gamma$, +far vega

WHY IT WORKS

- **Theta:** 21D decays $\sim 3\times$ faster than 90D at same strike
- **Rolling:** sell a new 21D each cycle — compounding carry
- **Gamma:** $-\gamma$ is defined-risk; max loss = net debit

ENTRY / EXIT

- **Entry:** VIX 14–22, range-bound or mild bull trend
- **Profit zone:** underlying $\pm 3\text{--}5\%$ of strike at near-expiry
- **Risk mgmt:** close if spot gaps $>3\%$ away from strike

OPENING — PIVOT FROM SLIDE 1

Bridge from the prior strategy: 'That was our fire extinguisher. This is the engine that runs when markets are calm — and calm is the baseline most years, not the exception.' Shift the energy from defensive to generative.

ON TIME-DECAY ASYMMETRY

The core insight: a 21-day call loses theta roughly $3\times$ faster per day than a 90-day call at the same strike. We capture that spread every month, then roll. It compounds like a bond coupon — but paid by the options market, not a borrower.

ON NEGATIVE GAMMA — ADDRESS IT DIRECTLY

Negative gamma sounds scary. Address it head-on: this is a defined-risk trade. Maximum loss is capped at the net debit paid — no tail blowup. The mitigation for a big gap move is disciplined position sizing and a pre-set stop at 3% OTM.

ON THE ROLLING ENGINE

The roll is what makes this structural, not just a one-time trade. Every 21 days: close the short call (or let it expire), sell a new 21-DTE call. Over 90 days you may sell 3–4 near-term calls, each lowering your cost basis on the 90-day long leg.

CLOSING — AUDIENCE FRAMING

For equity portfolio managers: this is an overlay that generates income without capping upside (the long 90D call participates in a rally). If VIX rises later, the long far-term vega benefits. It rewards discipline on the roll — this is active management, not a set-and-forget trade.